

GSPC Established 1989

Gas reserves of two trillion cubic feet in the KG basin, nearly 1,500 km of pipeline in Gujarat and 55 CNG stations. GSPC proves that a public sector unit can make efficiency its MO.

WHAT LIES BENEATH

The only state government-owned oil and gas company in India to secure exploration licences in four foreign countries, among them Australia and Egypt, the Gujarat State Petroleum Corporation Limited (GSPC) is an example of what a state government PSU can do. Boasting of huge oil reserves under its belt in the Krishna-Godavari (KG) basin, it has ushered in a minor revolution by setting up India's first-ever state-level gas grid. Thanks to GSPC's strides in the oil and gas sector, it is today known as the company with the golden touch. The Gandhinagar-based company was visualised by an IAS officer H.K. Khan in 1989 and developed by another IAS officer, Sanjay Gupta, in the late 1990s. It has taken a giant leap forward under its present Managing Director D.J. Pandian who took over in 2001 after having worked in the World Bank.

In 2005-06, GSPC shook the world of oil and gas when it struck two huge reserves of oil and gas in the KG basin. The company has explored one-fourth of its KG basin block and its natural gas reserves are estimated at two trillion cubic feet. Reliance's reserves in the basin are estimated at nine trillion cubic feet, but Reliance has already explored over 70 per cent of its KG basin block.

More evidence of the company's might is the 2,200-km gas pipeline that it is building in Gujarat with a view to supplying gas to indus-

"Our key to success is that despite being a PSU, we have thought like a corporate entity and taken risks to earn rich dividends in the process."



D.J. Pandian 53, Managing Director

trial and domestic units, thus bringing down the energy cost of the industries in the state and giving them a distinct edge in the economic world. Almost 1,500 km of this pipeline has already been laid. Twenty-two towns have been earmarked in the first phase, out of which 16 have already been covered. Not just this, GSPC will also be raising gas-based power projects to the tune of 2,500 MW over the next four years.

The company has now turned to the setting up of CNG stations as a retail business and is inviting private sector participation to build a compre-

hensive infrastructure of CNG stations across Gujarat. The company boasts of 55 such stations in the state. Another 110 private CNG stations in Gujarat are based on their CNG linkages with GSPC.

Making a mark in the education sector, the Pandit Deendayal University established by GSPC in Gandhinagar is India's first university that produces skilled manpower for the energy sector, which includes not just oil and gas but future energy options like solar energy as well. No wonder then that the seven-company GSPC's group turnover has risen by 40 times in the last seven years, from Rs 250 crore in 2002 to Rs 10,000 crore in 2009, and is expected to touch Rs 20,000 crore in another two years.

by Uday Mahurkar

43 per cent
was the share of oil and natural gas in the total primary commercial energy supply in 2006-07.